IPO WATCH · MARKETS · JUNE 2026

You Are Already Buying SpaceX. You Just Do Not Know It Yet.

The largest IPO in history lands on 12 June at $135 a share. The business is extraordinary. But the rules have been rewritten so your pension fund, your index fund and your retirement account will buy SpaceX automatically, whether you chose to or not.

By Madhav Arora, Financial Analyst

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Key Numbers at a Glance

· IPO Price: $135 per share · Listing: 12 June 2026 · Ticker: SPCX on Nasdaq

· Valuation: $1.77 trillion · Fundraise: $75 billion (largest IPO ever recorded)

· SpaceX Revenue FY2025: $18.7bn · GAAP Net Loss: $4.9bn

· Samsung market cap: $1.46 trillion · Samsung revenue FY2025: $233bn · Samsung profit: $31.6bn

· Starlink: $11.4bn revenue, $4.4bn operating profit, 10.3M subscribers

· Alphabet stake in SpaceX: 6.11% · Original investment: $900m in 2015 · Now worth: approx $107bn

The Number That Should Make You Stop

Here is a comparison nobody in the SpaceX roadshow will show you. Samsung Electronics has roughly the same market valuation as SpaceX, around $1.46 to $1.77 trillion depending on the day. Samsung generated **$233 billion in revenue** in FY2025 and made a **net profit of $31.6 billion**. SpaceX generated $18.7 billion in revenue and lost **$4.9 billion** on a GAAP basis.

You are being asked to pay Samsung prices for a company generating roughly one twelfth of Samsung's revenue and losing money while doing it. That is not a reason not to invest. But it is a reason to ask very hard questions about what exactly you are paying for.

> ***"Samsung: $233bn revenue, $31.6bn profit. SpaceX: $18.7bn revenue, $4.9bn loss. Both valued the same. One number tells you everything."***

How You Are Being Pulled In Without Investing

This is the part of the SpaceX story that most retail investors are completely unaware of. Even if you decide not to buy a single SPCX share, you may end up owning SpaceX anyway, through your pension fund, your 401k, your ISA, or any passive index fund you hold.

Here is how. On 1 May 2026, Nasdaq quietly changed its Fast Entry rules. Previously a newly listed company had to wait roughly three months before being eligible for the Nasdaq-100. Under the new rule, any company large enough to rank in the top 40 members by market cap can be added after just **15 trading days**. FTSE Russell made a similar change, with some of its indexes now allowing entry after just **5 trading days**.

SpaceX, at $1.77 trillion, will comfortably qualify under both rules. That means within three weeks of listing, every fund tracking the Nasdaq-100 or Russell 1000 will be mechanically required to buy SpaceX shares, regardless of price, regardless of valuation, regardless of whether the fund manager thinks it is a good idea.

> ***"Wall Street changed the rules. Your pension fund will buy SpaceX automatically. You had no vote."***

The Financial Times described this as "the biggest bagholder exercise of all time." What that means in plain English: the rules were changed specifically to funnel conservative, long-term retirement money into a loss-making IPO at a $1.77 trillion valuation, before meaningful price discovery has had a chance to occur. The people selling get the high price. The passive funds absorbing the shares get whatever comes next.

The Smart Money That Will Be Selling To You

In 2015, Alphabet, the parent company of Google, invested $900 million into SpaceX when the company was valued at around $12 billion. That gave them roughly a 7.5% stake. Due to subsequent funding rounds and the merger with xAI, that stake has been diluted to approximately 6.11%. But at a $1.77 trillion valuation, that 6.11% is worth roughly **$107 billion**.

That is a return of roughly 119 times the original investment. Alphabet cannot sell immediately due to the 180-day lock-up period for major shareholders. But when that lock-up expires, they will have a $107 billion decision to make. The question for retail investors is: who will be on the other side of that trade?

> ***"Alphabet turns $900 million into $107 billion. That is 119 times their money. When they sell, someone has to buy. That someone could be your pension fund."***

What I Think — My View as a Financial Analyst

Madhav Arora · Financial Analyst · June 2026

I am neutral on this IPO and I think neutral is the only intellectually honest position right now. The Starlink business is genuinely exceptional. 10.3 million subscribers, $4.4 billion in operating profit, growing fast with no real competitor. If Starlink reaches 50 million subscribers the long-term valuation argument becomes very compelling. But at $135 and $1.77 trillion I am not buying on day one. The valuation prices in perfection across three businesses, only one of which is profitable. The index fund rule changes mean the opening price will be artificially inflated by forced passive buying. And when the 180-day lock-up expires, early investors sitting on 100x returns will sell into that demand. My view: watch, understand, and wait for $100 to $110. That is where the risk/reward becomes genuinely compelling.

What the Big Names Think

Morningstar · Independent Research

Morningstar analyst Nicolas Owens valued SpaceX at $780 billion, less than half the $1.77 trillion IPO price. His verdict: "significantly overvalued in almost any scenario, at least in the near term." He adds that patient investors will get a better price after the lock-up expiry.

Financial Times · Robin Wigglesworth

The FT correspondent called the Nasdaq Fast Entry rule change "the biggest bagholder exercise of all time." His argument: index providers are competing to deliver mega-IPOs into passive vehicles before meaningful price discovery can occur. Retail investors absorb the risk.

Motley Fool · Independent Analysis

At $1.77 trillion, SpaceX carries a price-to-sales ratio of roughly 95x, higher than any company in the S&P; 500. Index providers waived the profitability requirement and cut the seasoning window from 90 days to 5, forcing over $30 trillion in passive retirement money to buy at IPO valuations.

InvestmentNews · Jacob Friedman

SpaceX will enter almost every major US equity index within the first three weeks of trading. Russell 1000 inclusion arrives roughly five trading days post-IPO. Nasdaq-100 after 15 days. The simultaneity of the rule changes is, in his words, "difficult to explain away."

SpaceX is a once-in-a-generation business. $135 is not a once-in-a-generation price. You are already being pulled in. The least you can do is know it is happening.

Madhav Arora is a Financial Analyst and the author of equity research on Rolls-Royce, Caterpillar, HSBC, Airbnb and Diageo. His work is available at madhavarora77.github.io